Construction rebalancing keeps the RBA on alert

#australia #construction #gdp

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Share

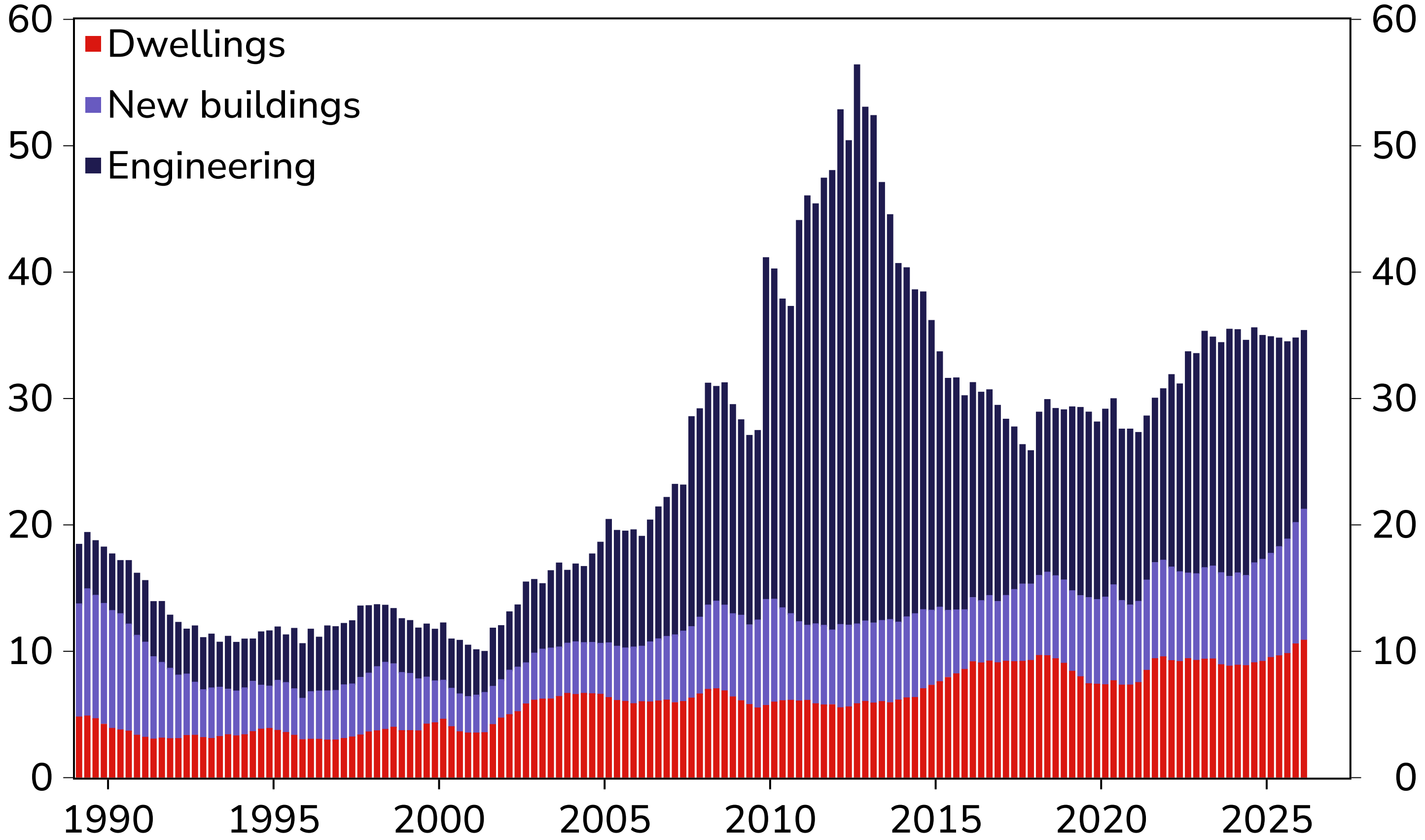
Infrastructure is fading, but housing and data centres are keeping capacity tight and the RBA on alert.

- Construction activity is rebalancing rather than retreating, with the pipeline of work yet to be done remaining around a record high share of the economy outside of the mining investment boom.

- The **public infrastructure pipeline** is shrinking rapidly, especially in NSW and Victoria. Private engineering work has been more resilient but is starting to soften as well. Electricity-related projects across both the public and private sectors have declined in recent quarters, likely reflecting grid capacity constraints and delays affecting several large-scale renewable energy developments in NSW.
- **Residential building** remains an important source of support. The dwelling pipeline is still elevated, despite a fall in private commencements in Q1. This should sustain activity in the near term. However, risks remain with interest rate rises and established markets moving into a downturn. Higher fuel and related costs are also likely to squeeze builders' margins and thus activity, though not as much as in the post-COVID period, when fixed-price contracts were more common. Against this, there have been a range of state and Federal government measures aimed at boosting new building in recent years.
- The standout positive story is **non-residential building**. The work yet to be done pipeline has reached a record high, driven by an unprecedented wave of data centre investment concentrated in NSW and Victoria. The value of other commercial buildings in the pipeline, largely reflecting the specialised buildings and structures required to house high-tech data centre equipment, has surged from virtually zero before COVID to around 2.1% of quarterly GDP – and we know there is further upside due to a big spike in data centre approvals in April and May (see here) and the record level of investment we expect over coming years (see here). Major health and education projects in Queensland, NSW and South Australia are also contributing to the strength in activity, with recent state budgets, particularly in NSW pointing to further strength in the year ahead
- **The bottom line:** as infrastructure work fades, building construction is stepping up led by non-residential activity. This shift should keep the construction sector operating at high utilisation rates. If growth in building activity outpaces the decline in infrastructure, capacity pressures could even intensify, placing renewed upward pressure on construction costs and prices. This rebalancing reinforces our view that domestic inflation pressures will linger for a while yet, and the RBA may not be finished with its tightening cycle.

Construction pipeline

% share of the economy, work yet to be done



Source: ABS, Macrobond, Westpac Economics

The ABS's Engineering Construction (released last week) and Building Activity (released today) publications provide estimates of the construction pipeline and the value of work yet to be done on projects that have already commenced. As such, they offer an important leading indicator of near-term construction activity. The data complements, and ultimately feeds into, the National Accounts estimates of engineering construction, dwelling investment, non-dwelling construction and public infrastructure spending.

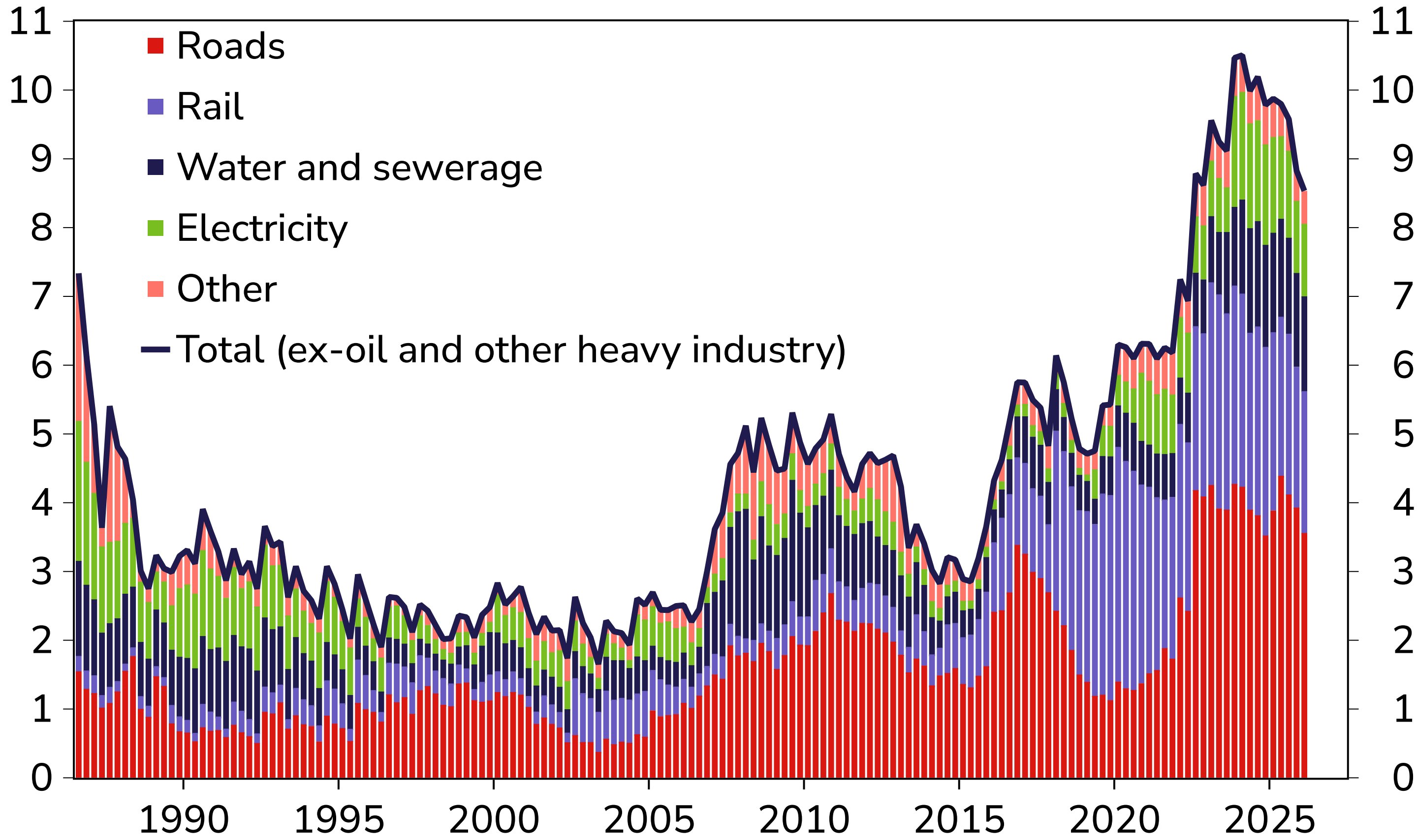
The ABS will release its preliminary estimates of construction work done in Q2 2026 on 26 August 2026, providing a timely read on how activity is tracking ahead of the Q2 National Accounts due on 2 September.

Overall, the pipeline is rebalancing rather than retreating, with the pipeline of work yet to be done remaining around a record high share of the economy outside of the mining investment boom.

The public infrastructure pipeline has fallen sharply, particularly in NSW and Victoria. In NSW alone, the value of work yet to be done has almost halved over the past year, falling from around $35 billion to $17 billion. Part of the decline reflects the wind-down of major road and highway projects, alongside the completion of several large metro projects in Sydney and Melbourne.

Public infrastructure pipeline

% share of the economy, work yet to be done

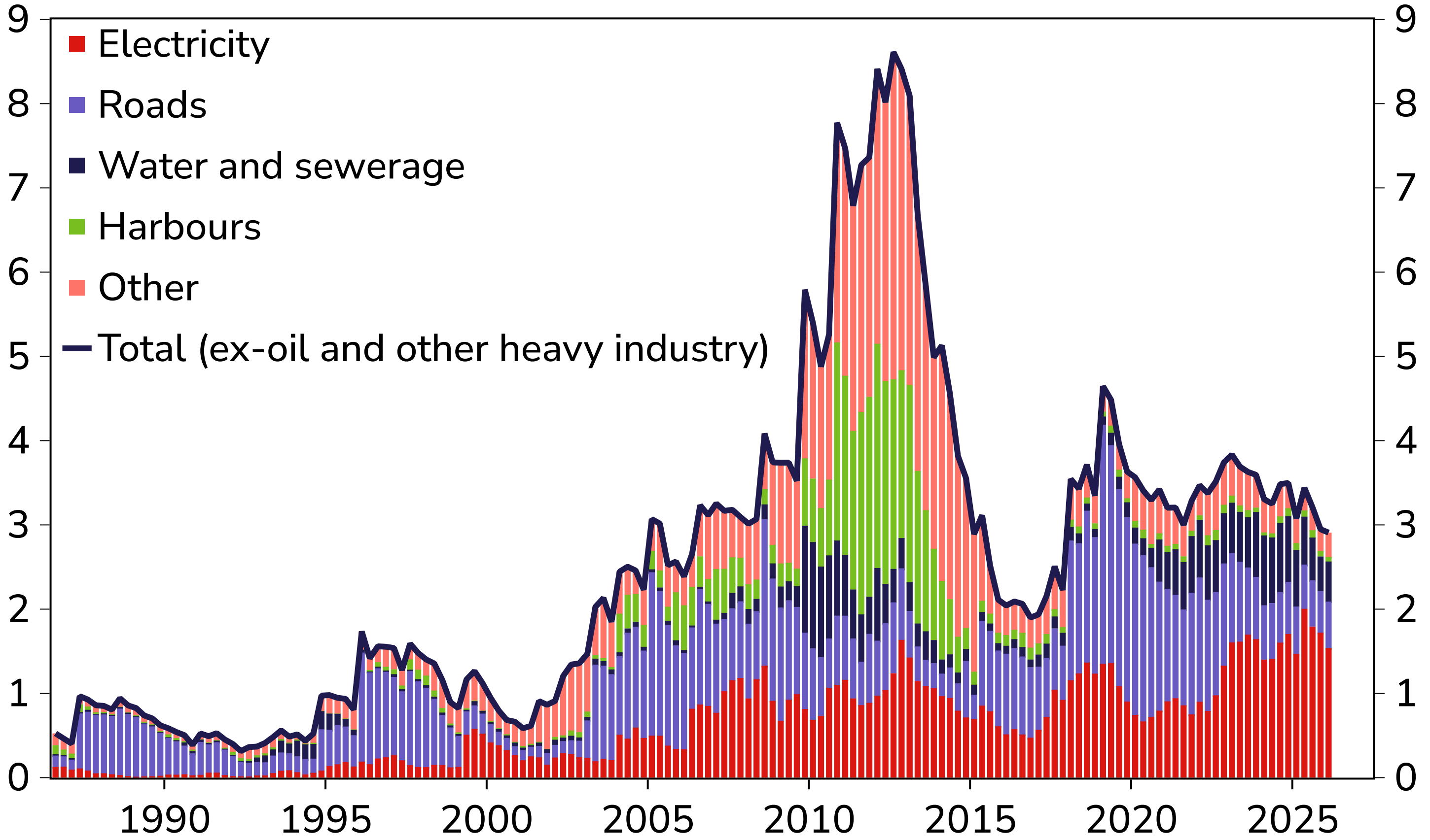


Source: ABS, Macrobond, Westpac Economics

The private engineering pipeline has been more resilient, although it too is starting to soften, with the softness driven by the wind-down of road and transport projects, as well as a decline in electricity generation and distribution projects.

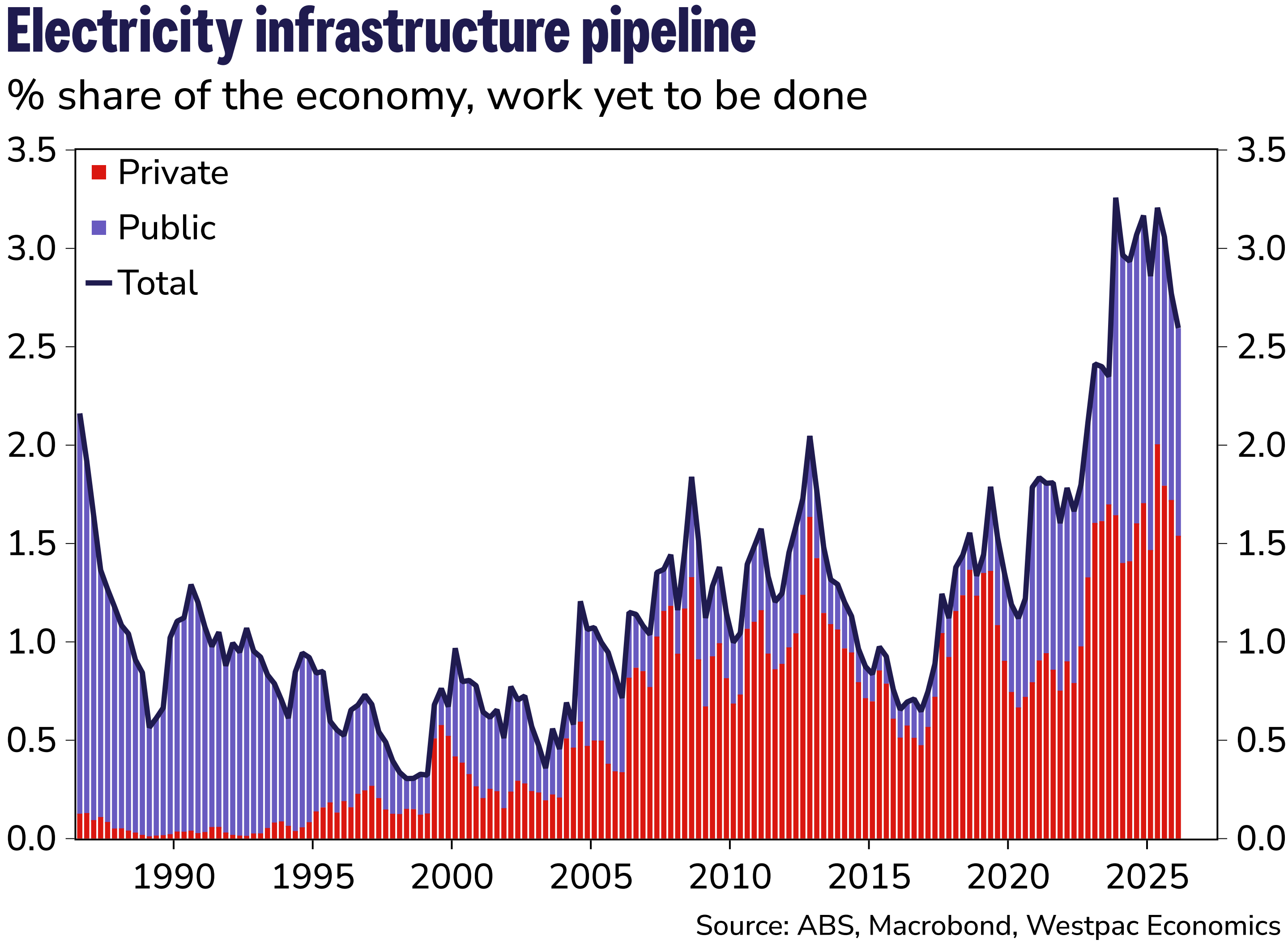
Private infrastructure pipeline

% share of the economy, work yet to be done



Source: ABS, Macrobond, Westpac Economics

Electricity-related projects across both the public and private sectors have declined in recent quarters and that continued over Q1, particularly in the private sector.

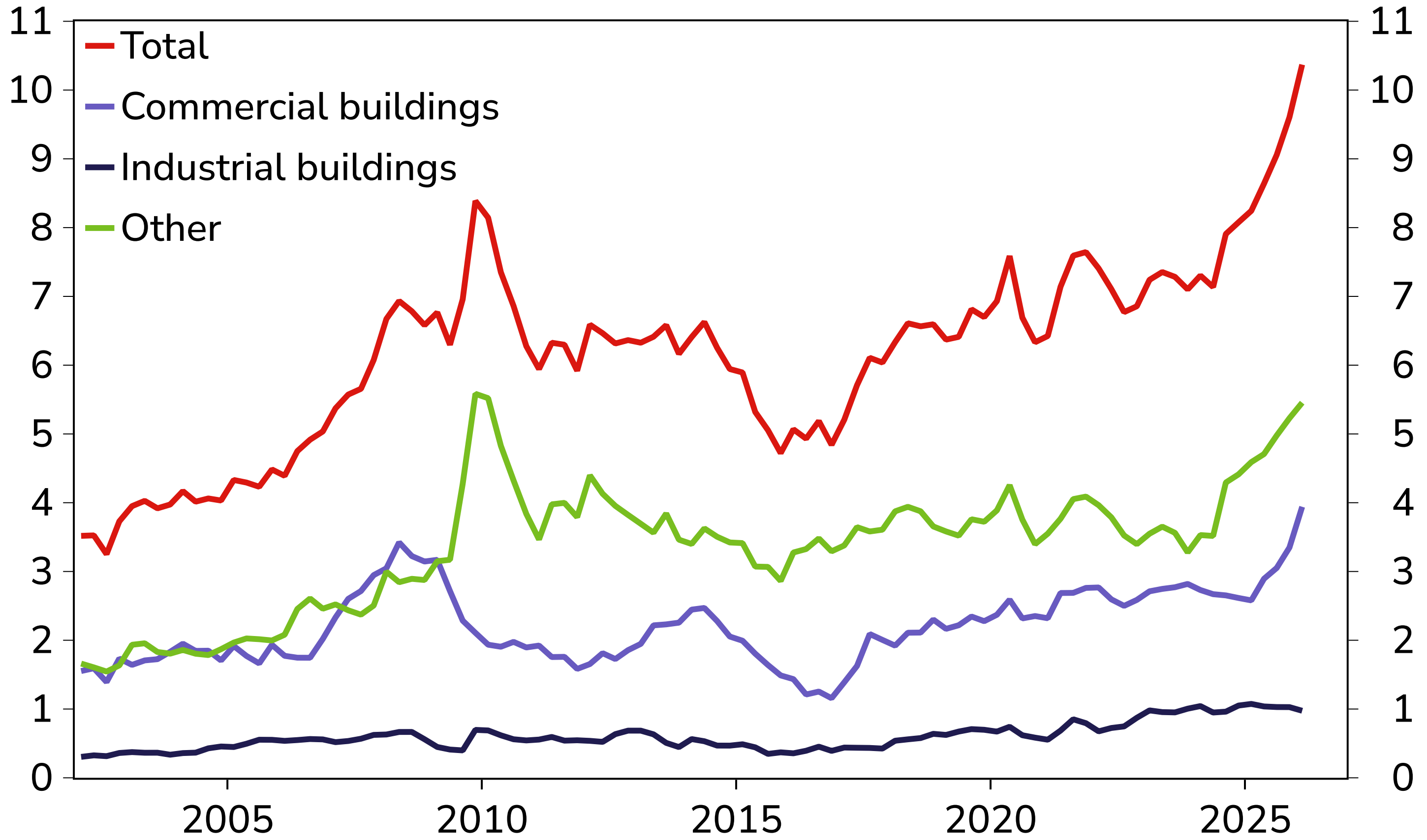


The standout positive story is **non-residential building**. The value of other commercial buildings in the pipeline, largely reflecting the specialised buildings and structures required to house high-tech data centre equipment, has surged from virtually zero before COVID to around 2.1% of quarterly GDP. Today's data shows continued strength with commencements increasing sharply and we know there are further upside given strong April and May approval data.

That saw the value of other commercial buildings in the pipeline reach a record share of the economy.

Non-residential building pipeline

% share of the economy, work yet to be done

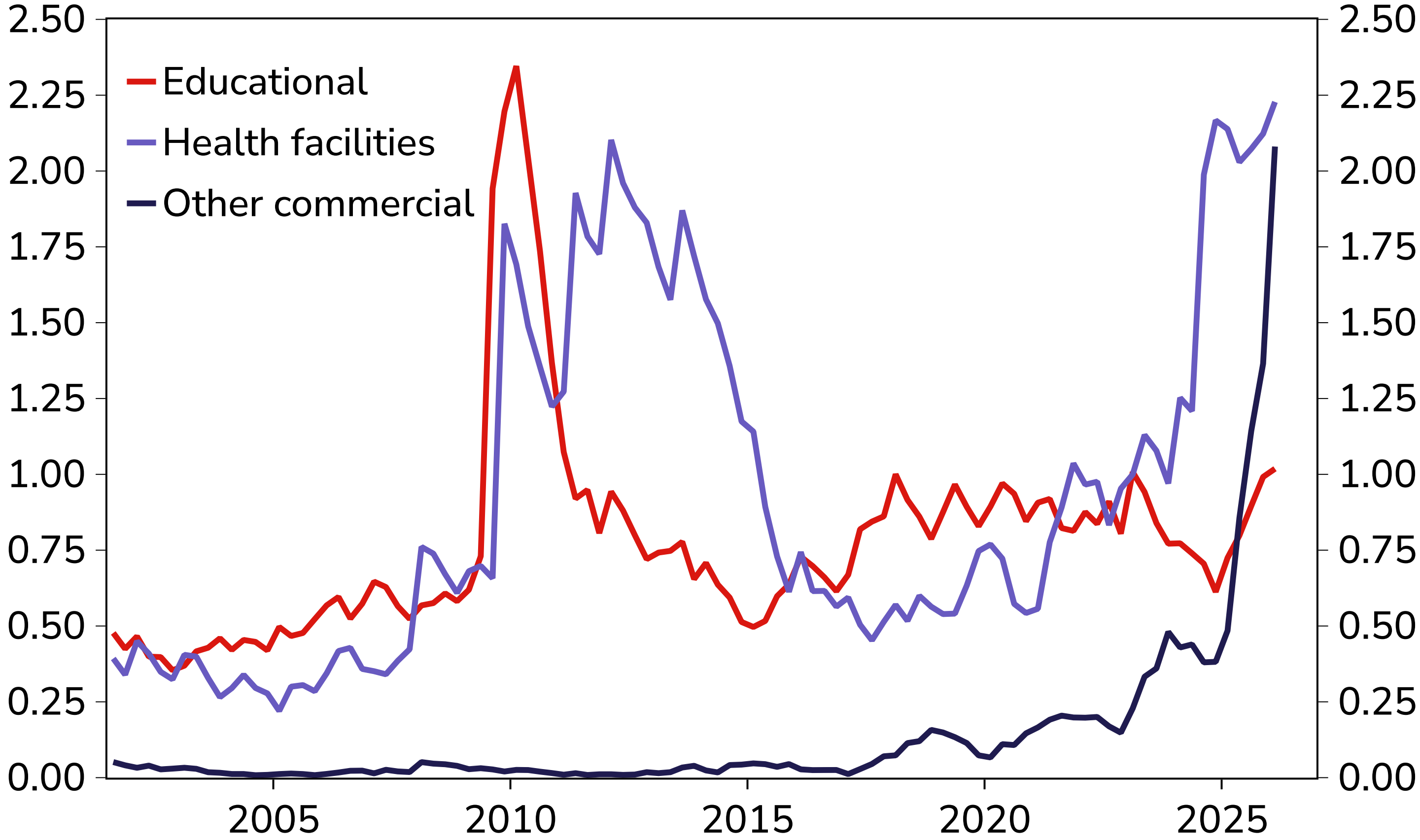


Source: ABS, Macrobond, Westpac Economics

While data centres stole the show, major health and education projects in Queensland, NSW and South Australia are also contributing to the strength in activity.

Non-residential building pipeline

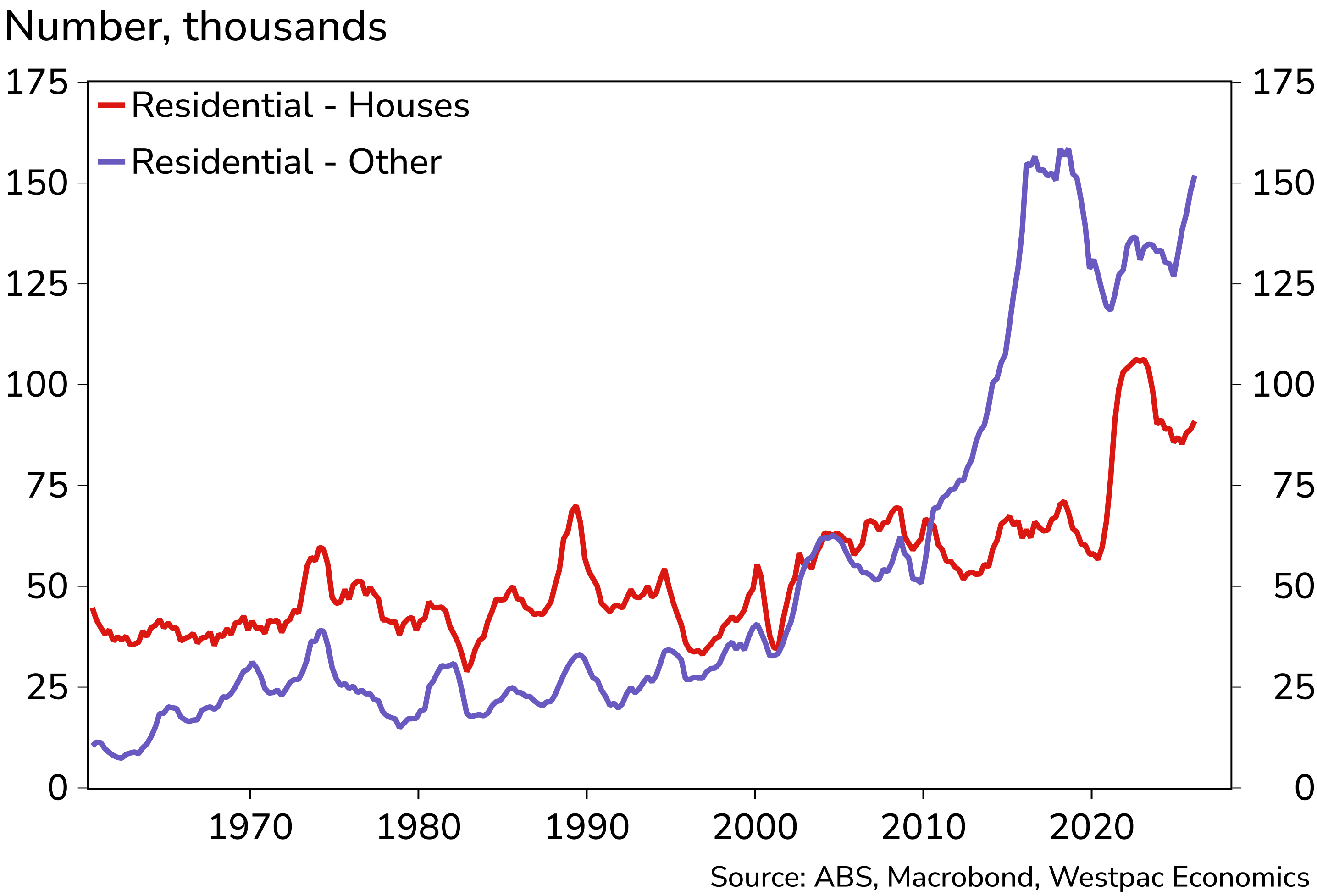
% share of the economy, work to be done



Source: ABS, Macrobond, Westpac Economics

The number of dwellings under construction also increased in the quarter, supporting near term activity, consistent with our forecasts for dwelling investment.

Dwellings under construction



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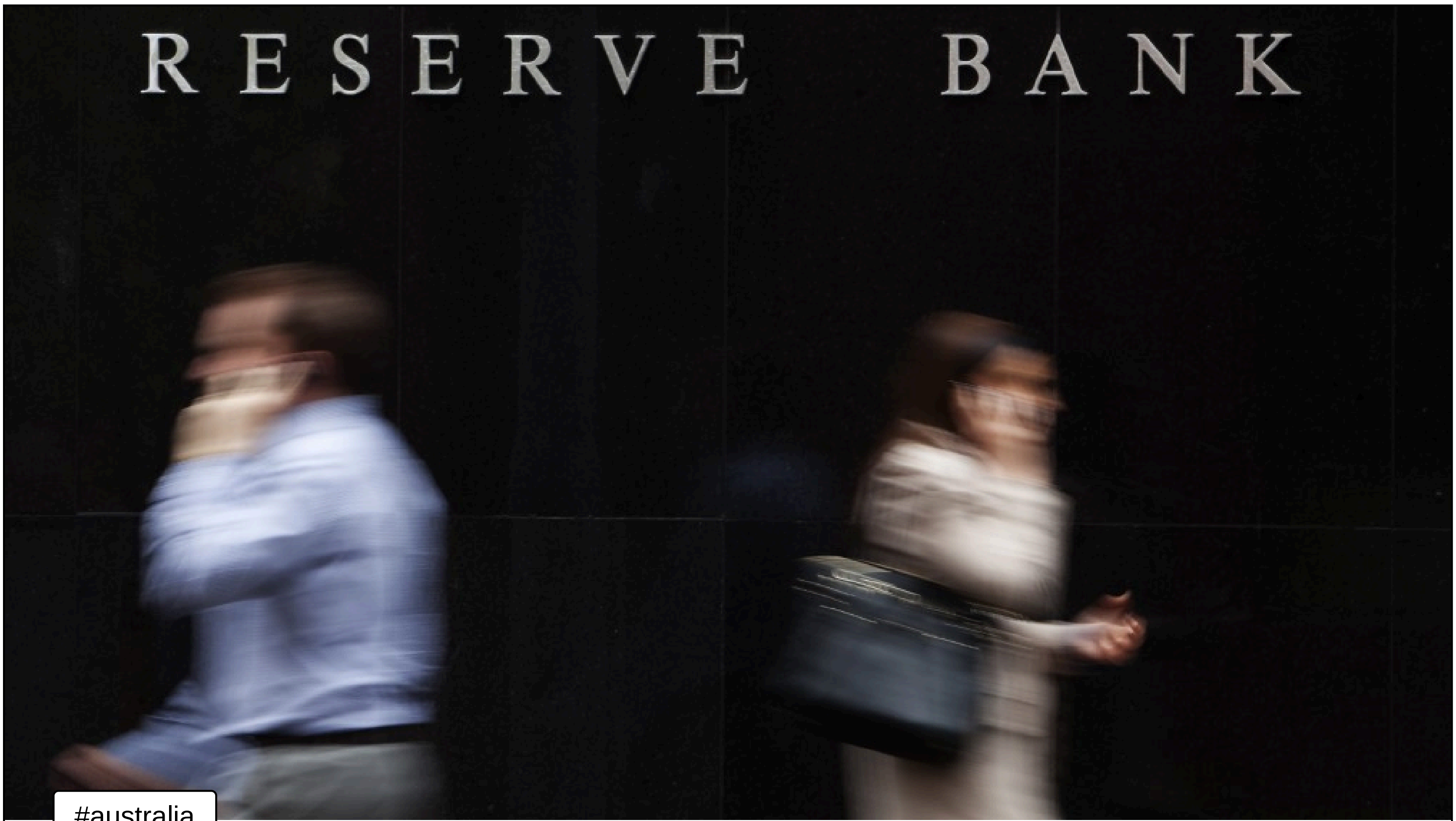

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